Should Minimum Wages be Higher?

Income Distribution

Group 2

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I. Introduction

1.1 Question and Our Stance

- **The Research Question:** Should minimum wages be higher in Canada?

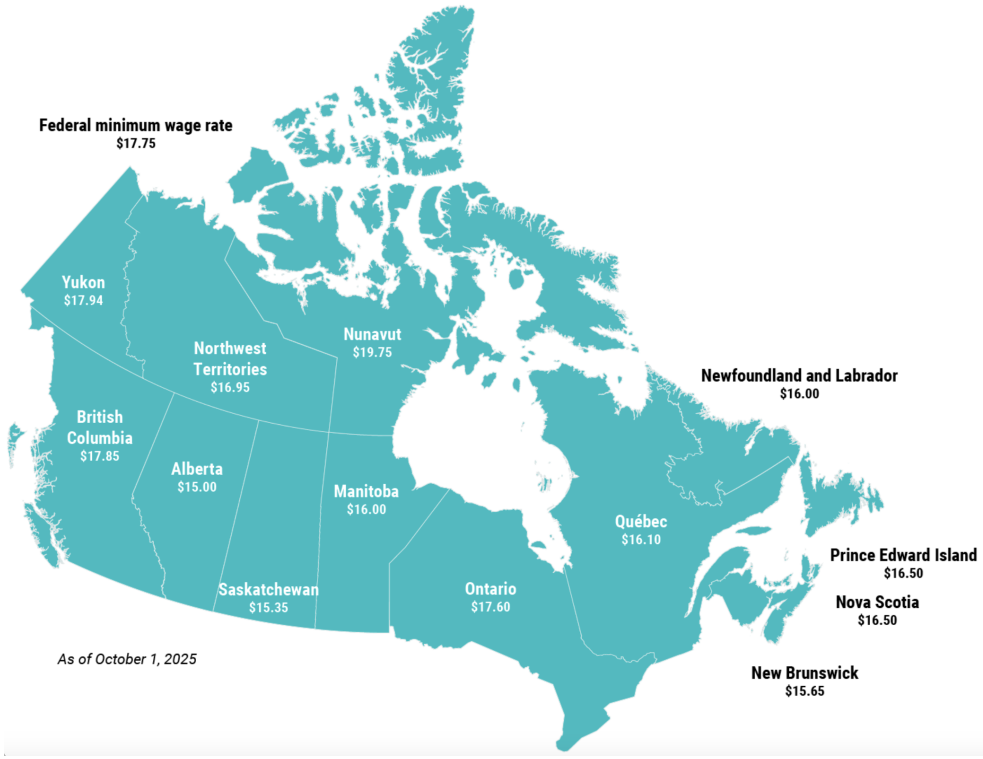
- **Our Stance:**
  YES, we support a moderate increase in the minimum wage.

1.2 Background

- **Definition:** The minimum wage is a basic labour standard that sets the lowest wage rate that an employer can pay to employees.
- In Canada, minimum wages are set mainly by provinces and territories.
- The federal government sets a separate minimum wage only for federally regulated sectors (such as banks, airlines, and interprovincial transportation)
- This creates variation across jurisdictions, making Canada a useful setting for minimum wage policy analysis

1.3 Current Canadian Context

- **The Inflation Gap (2024-2026):** Rising living costs have created a gap that erodes the purchasing power of nominal wages.
- **Provincial Flexibility:** Canada leverages localized adjustments to match regional economic pressures.
- **Highest (2026):** Nunavut ($19.75) and BC ($17.85).
- **Baseline:** Alberta ($15.00).



Current Provincial Minimum Wages

2.1 The Government as a Market Corrector

- **Historical Origins:** Historically established to protect unorganized workers and labor conditions.
- **Institutional Purpose:** The government acts as a market corrector, setting a **Price Floor** to prevent wages from falling below a "socially acceptable" level.
- **Gradual** policy adjustments
- Strong **labor protections**
- Well-developed **social safety net**

III. Theory and Motivation

3.1 Motivation

- Why we support a higher minimum wage?
- **A higher minimum wage is worth considering because it targets low-paid work**
- Its effects are concentrated **near the bottom of the wage distribution**
- It can improve outcomes through **redistribution**

3.2 Theory: Wages, Employment, and Welfare

- **Wages:** As a wage floor, the minimum wage should raise wages for workers at or near the bottom, with possible spillovers slightly above the minimum.
- **Employment**: In imperfect labour markets, employment effects may be ambiguous and non-linear.
- **Welfare:** The main theoretical justification is redistributive rather than costless.

3.3 Evidence from Canada

Why minimum wage matters for the lower tail

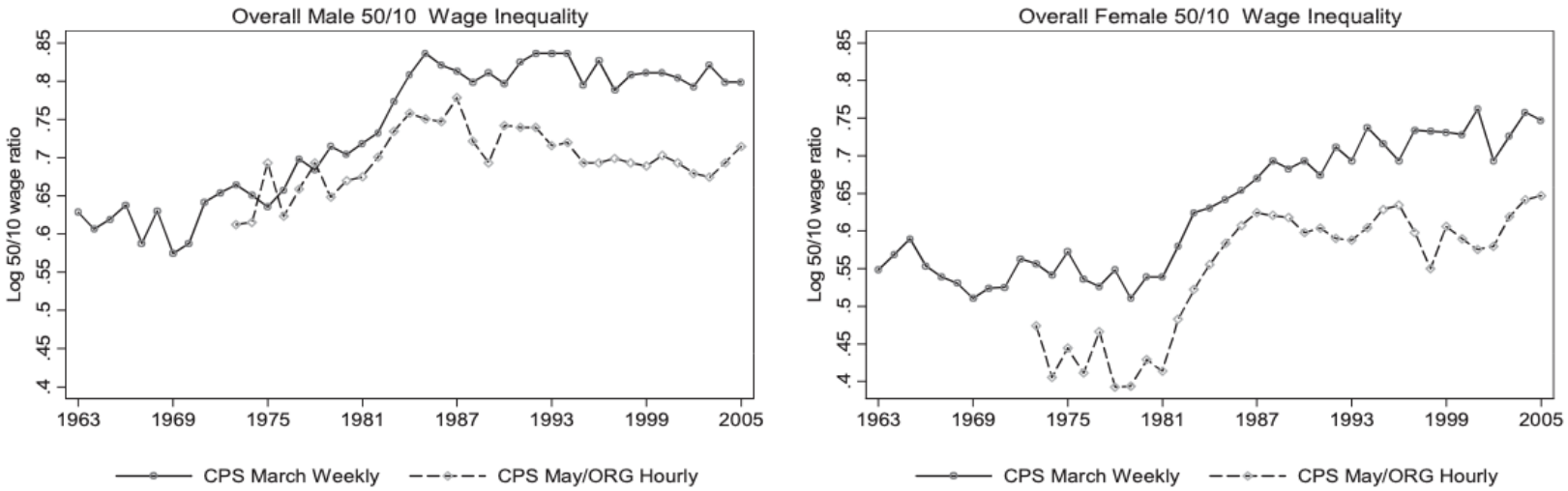
- In Canada, about **8%** of employees work at the minimum wage
- Minimum wage increases are especially relevant for the **lower end** of the wage distribution

A 1% minimum wage increase raises wages by about:

Percentile	**Wage increase**
5th percentile	0.67%
10th percentile	0.31%
15th percentile	0.08%
Above 15th	statistically insignificant

Bank of Canada (2017), drawing on Fortin and Lemieux (2015)

3.4 Evidence Related to Course: Lower-Tail Trends, 1963–2005



See notes to figure 2 for details on samples and data processing.

Figure: Overall 50/10 wage inequality for males and females (AKK 2008, Figure 3)

- Minimum wage appears especially relevant for the **lower tail**
- The decline in the real minimum wage during the 1980s likely contributed to the expansion of lower-tail inequality.[1]

3.5.a U.S. Evidence: Employment Non-Linearities

- This figure shows in a **calibrated model** that **employment effects can be non-linear**. [2]

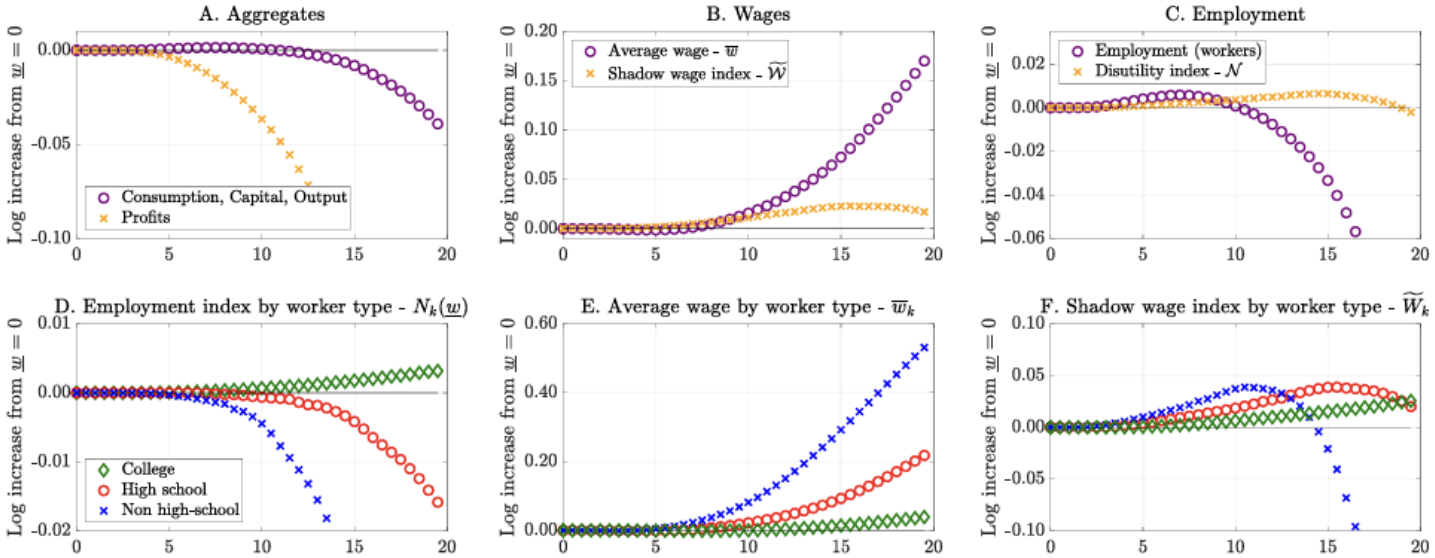


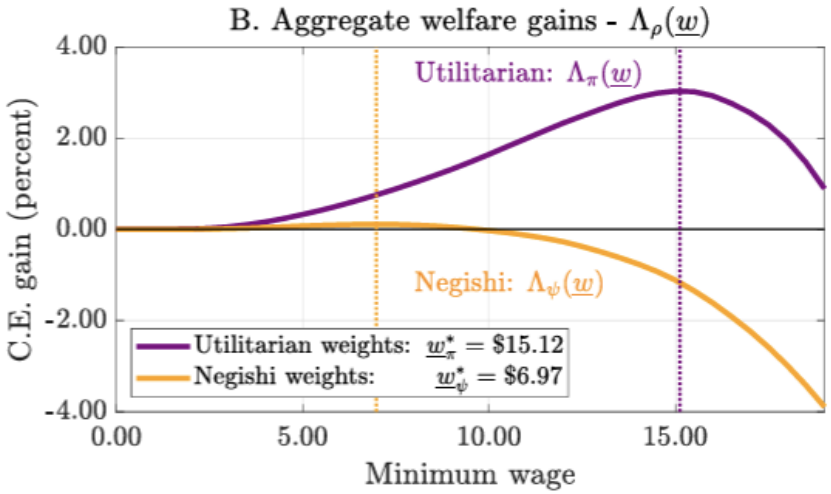
Figure 10: Aggregate and worker type outcomes

- At lower minimum wages, small effects.
- At higher levels, employment effects could turn negative.
- Losses are concentrated among **less-educated workers**.

[2] Berger, Herkenhoff, and Mongey (2025)

3.5.b U.S. Evidence: Social Welfare

- A higher minimum wage can **improve social welfare**, but the welfare result depends on **social welfare weights.**



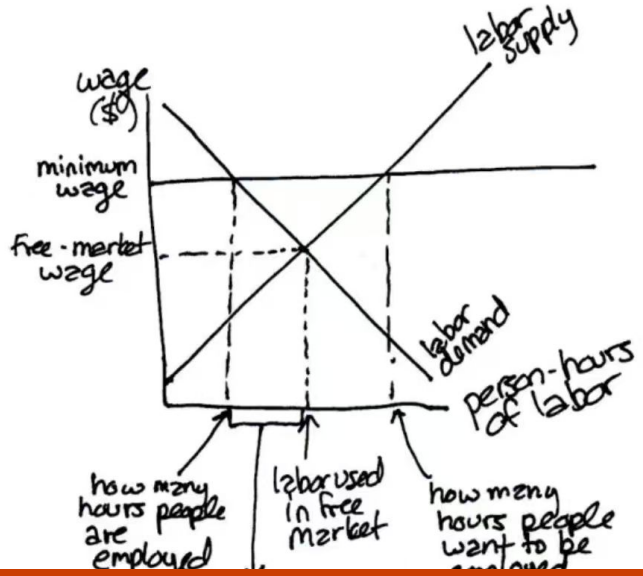
- Berger, Herkenhoff, and Mongey (2025):
  "Redistribution generated by the minimum wage implies that **the optimal minimum wage depends crucially on the social welfare weights of the policy maker.**"
- Under utilitarian weights, the welfare-maximizing minimum wage in their model is \$15.12 USD; under Negishi weights it is \$6.97USD.

IV. Counter Arguments

4.1 Employment Effects

Standard Neoclassical Competitive Labor Market Model

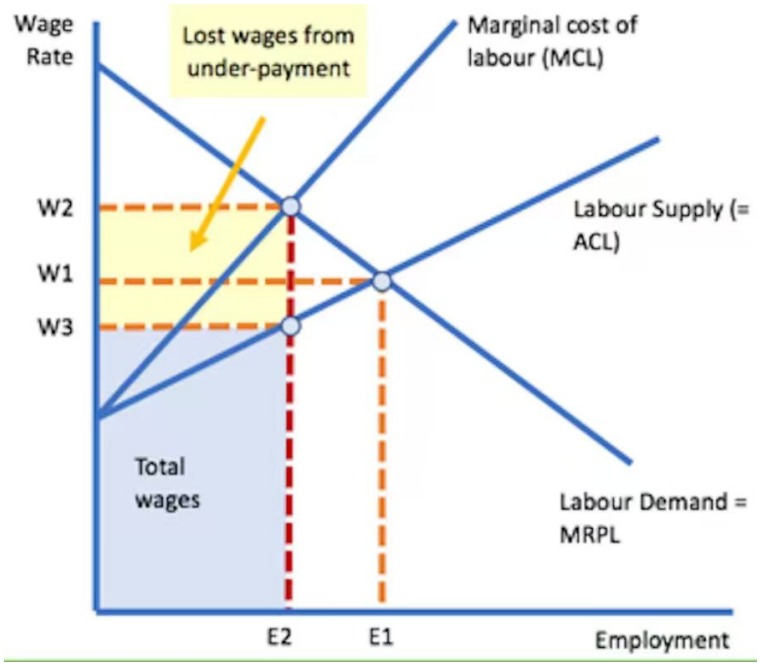
- Wage determined by labor supply and labor demand
- Binding minimum wage above equilibrium:
  - → ↓ labor demand
  - → ↑ labor supply
  - → unemployment



4.1 Employment Effects

Reality: Imperfect Labor Markets

- Some degree of **monopsony power**
- **Wage-setting ability** of firms



4.1 Employment Effects

Implications

- Effects depend on **market structure**
- Card & Krueger (1994):
  - → No clear evidence of employment decline
  - → Not statistically significant
  - → In some cases, slightly positive effects

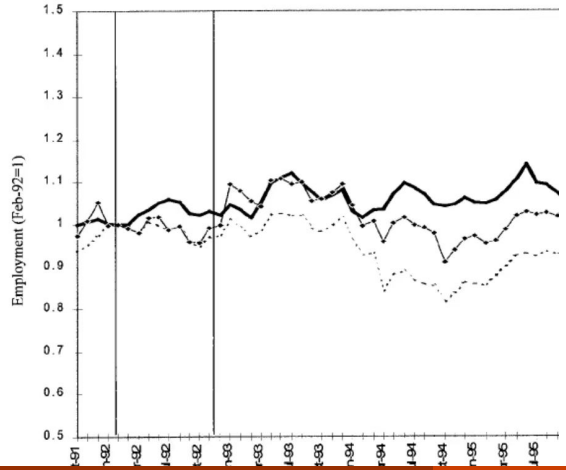


TABLE 2—BASIC REGRESSION RESULTS; BLS ES-202 FAST-FOOD DATA AND CARD-KRUEGER SURVEY DATA

	Dependent variable:			
	Change in levels		Proportionate change	
Explanatory variables	(1)	(2)	(3)	(4)
A. All of New Jersey and 7 Pennsylvania Counties, BLS Data				
New Jersey indicator	0.536	0.225	0.007	0.009
	(1.017)	(1.029)	(0.029)	(0.029)
Chain dummies and subunit dummy variable	No	Yes	No	Yes
Standard error of regression	10.09	9.99	0.286	0.281
R^2	0.001	0.029	0.000	0.046
B. All of New Jersey and 14 Pennsylvania Counties, BLS Data				
New Jersey indicator	0.946	0.272	0.045	0.032
	(0.856)	(0.859)	(0.024)	(0.024)
Chain dummies and subunit dummy variable	No	Yes	No	Yes
Standard error of regression	10.80	10.63	0.303	0.294
R^2	0.002	0.042	0.005	0.071
C. Original Card-Krueger Survey Data				
New Jersey indicator	2.411	2.488	0.029	0.030
	(1.323)	(1.323)	(0.050)	(0.049)
Chain and company-ownership dummies	No	Yes	No	Yes
Standard error of regression	10.28	10.25	0.385	0.382
R^2	0.009	0.025	0.001	0.024

4.2 Price & Inflation Effects

Concern

- Higher wages → higher costs → possible price increases
- Especially in **labor-intensive sectors**

Clarification

- Lemos (2004, survey of studies):
  10% minimum wage increase → around **0.2–0.3%** price increase
- Price effects are generally **small** and **sector-specific**

Conclusion

- Wage increases typically **exceed** price increases
  → real income likely increases

4.3 Efficiency Concerns

Standard Theory

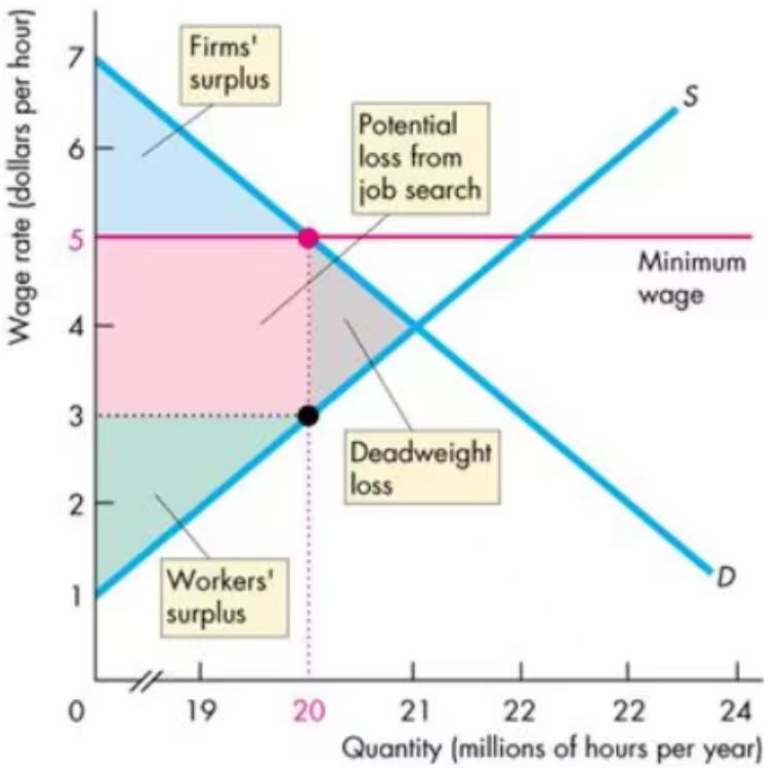
- Minimum wage = price floor $\rightarrow$ potential deadweight loss $\rightarrow$ possible inefficiency

However, real-world markets include:

- Information asymmetry
- Unequal bargaining power
- Search frictions

Implication

- Market outcomes may already be inefficient



V. Conclusion

Summary

- Employment effects $\rightarrow$ mixed, generally small
- Price effects $\rightarrow$ modest
- Efficiency concerns $\rightarrow$ context-dependent

While concerns about employment, inflation, and efficiency are important, real-world evidence suggests their effects are **limited**.

In Canada, these concerns **do not outweigh the benefits** of raising the minimum wage — especially in **reducing inequality** and **improving living standards** for low-income workers.

Policy Recommendation for Canada

- We do not believe in a Canada wide rate.
- We recommend a general minimum of 18.50CAD
- 23.33% increase on the lowest minimum wage, Alberta (15CAD)
- And actually lower than Nunavut at 19.75CAD
- Crucially we link this to the annual CPI to account for inflationary pressures.
- More research into a tiered minimum wages system.

A Different Approach

- Our final recommendation is motivated by Berger, Herkenhoff, and Mongey (2025)
- They find some evidence within their model that large productive firms have more room before a wage floor becomes distortive.
- Not enough to conclude anything but we believe it is worthy of further research.

Minimum Wages are not everything

- They have a strong redistributive effect but from a welfare point of view it is not the whole picture.

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Contributions

- **Xiyu Chen** – Introduction and Background
- **Yaoyi Cheng** – Motivation and Theories
- **Yuxin Jiang** – Counter Arguments
- **Alastair Watt** – Conclusion and Policy Recommendation